

**the markets in the next few months?**

**A:** I think it's going to be a bit challenging until, we sort of see this thing turn... one variable that every investor in India should look at is when foreign flows start coming back into India when the dollar turns. But until and unless the dollar starts to weaken... that's when I think foreign investors will return. [There is] talk that China has done a big stimulus, some money will go there... I think this is all in the short term, because I don't think it's sustainable. I don't think China's growth story is so sustainable that people are going to relocate capital to China, [and] move away from India... And remember that India is one of the best-performing emerging markets.

**Q:** Ian Bremmer of the political risk and research firm Eurasia Group says China is likely to make overtures to India over the next several months to try and improve the strained relationship, largely on account of Trump's posturing. What should India do?

**A:** I think that India has got to remain neutral on this. But as I said with Trump, I just feel the approach is very transactional. There's nothing strategic. Tomorrow, [if] we don't want to deal with China because we trust the US more... The only risk with getting too closely aligned to America is that tomorrow, if the US strikes a deal with China, then America can easily leave India out in the cold... I think that we [India] have to keep our options open.

**Q:** Should we have more Chinese foreign investment or do we remain suspicious?

**A:** The big risk with China is that it has huge amounts of over-capacity, and they are exporting that over-capacity—and that is very deflationary and can hurt Indian businesses... I'm much more concerned by how this dumping could impact us, and which businesses can get hurt by this. That's what we have to remain vigilant about... Because if you look at the Chinese growth model in the past few years, economic growth has primarily been led by exports. So that's the irony. On one hand, you are blaming China for tariff wars because they export so much. But on the other, their exports have gone up even more in the past few years. And I think that that over-capacity in China—which is being pushed out to the global markets—is a big risk.

**Q:** A lot of talk in the past has been about rural distress. There are signs of that turning but now the focus is on urban distress. How acute is that and how much is that likely to



**“India has to be prepared for transactional approaches under Trump... if he has to strike a deal with some country because it's in America's interest, he won't care about how India's going to feel as a strategic ally”**

**slow India's economic growth engine?**

**A:** I've said this about India, and I've said this consistently... that this is a country that consistently disappoints the optimists and the pessimists. I'm generally on the optimistic side, but I do feel the fact that you know that in India's case, this will happen, that's why we'll never grow at 9 or 10%. There'll always be some factor pulling us back, pulling us down, whether it's competitive populism or it's just, you know, mixed changes from rural to urban, urban back to rural. But a 6%-type growth trajectory for me, for India, still